

How the Michigan Condominium Act Protects Buyers

In place since 1978, the Michigan Condominium Act's stated purpose is to ensure that prospective buyers of new construction condominiums receive certain documents to help them make informed purchasing decisions. It also guarantees buyers are given sufficient time to review those documents before being bound by a purchase agreement. The act provides protections to tenants in conversion situations, as well.

This act regulates condominium units, including those used as timeshares (where buyers purchase specific time intervals to occupy the unit), and conversions of residential buildings to condos with six or more units. A timeshare is interval ownership for a specified period of time. Often used by vacationers, a timeshare owner may own a one-week interest in a timeshare condominium in Boyne Falls, for instance.

Prospective Buyers Must Receive

- The recorded master deed, which must include the bylaws and subdivision plans
- A copy of the purchase and escrow agreements
- The Condominium Buyer's Handbook
- A disclosure statement related to the project

After receiving these documents, buyers get nine days in which to review the documents, even if a purchase agreement has already been signed. If a buyer doesn't approve of the documents, the buyer may terminate and receive a refund of any deposit.

Timeshare condominiums are also covered by this act. A timeshare is interval ownership for a specified period of time. (Often used by vacationers, a timeshare owner may own a one-week interest in a timeshare condominium in Maui, for instance.)

Leasing

If a condominium owner wants to lease their unit, the act requires that the owner give the association at least 10 days' notice prior to the lease signing. A copy of the lease must be provided to the association who will review it for compliance with the condo's documents. Any tenant must follow the same association rules as owners. If the tenant fails to follow these rules and conditions, the association will notify the owner who has 15 days to investigate and correct the issue or notify the association that a violation didn't occur. If after 15 days the violation isn't corrected, the association can begin eviction proceedings against the tenant.

Conversion

If an apartment building with six or more units will be converted to condominiums, the developer must provide certain information. In the case of a condo conversion, existing tenants must be notified of the proposed conversion along with the tenants' rights to:

- Receive documents required to be provided to prospective purchasers.
- Remain in their unit for 120 days from the date of notice or lease expiration, whichever is longer. This period is extended if the tenant is a resident of the building, is either aged 65 or older, blind, or para-, quadri-, or hemiplegic, and doesn't qualify for an extended lease arrangement with the developer.
- Terminate tenancy after receiving notice by providing 60 days' notice of termination to the developer.

Site Condominiums

Site condominiums-those with at least two units-are undeveloped developments, for lack of a better phrase. The developer basically brings the property to a buildable stage, and the unit owner is responsible for building the detached condominium unit. The owner can contract with any builder to construct the unit within the scope outlined in the developer's master plan. Because the developer doesn't have to take the units through to completion, the approval process is streamlined for the developer. Licensees are cautioned not to call these types of developments "subdivisions," because those are a separate type of property with stricter approval processes.